EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Camalaniugan is classified as a fourth-class municipality covering an area of 76.50 square kilometers or 29.54 square miles, which constitutes 0.81% of Cagayan's total area. Its area is distributed among twenty-eight (28) barangays. Seven (7) are classified as urban barangays, and the remaining twenty-one (21) as rural barangays. Dammang Sur and Dammang Norte have the biggest land area among the twenty-eight (28) barangays.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Camalaniugan for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality, in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Camalaniugan, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	487,535,269.65	459,858,544.60	27,676,725.05
Liabilities	91,067,342.63	98,698,694.71	(7,631,352.08)
Government Equity	396,467,927.02	361,159,849.89	35,308,077.13
Financial Performance			
Income	159,447,568.34	148,651,742.76	10,795,825.58
Expense	147,580,506.66	146,603,080.33	977,426.33
Net Income	11,867,061.68	2,048,662.43	9,818,399.25

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Concreting of Farm-to-Market Road going to SWIP @ Felipe Tuzon	P2,000,000.00
Continuation of Boulevard and Parks @ Gen. E. Batalla	1,000,000.00
Purchase of Garbage Truck	2,825,794.68
Concreting of Farm-to-Market Road @Bantay	500,000.00
Concreting of Farm-to-Market Road @Casili-Biga	500,000.00
Concreting of Farm-to-Market Road @ Minanga	500,000.00
Concreting of Farm-to-Market Road @ Baggao	500,000.00
Concreting of Farm-to-Market Road @ Bulala	500,000.00
ng of Farm-to-Market Road @ Cullit	500,000.00
Total	**P8,825,794.68**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the Municipality of Camalaniugan, Cagayan as at December 31, 2024.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Procurement of petroleum fuel, oil and lubricants (POL) totaling P3,277,774.67 were not included in the Annual Procurement Plan for CY 2024 of the Municipality, and were paid to a single supplier without any contract, contrary to the specific guidelines provided for Direct Retail Purchase of Petroleum Fuel, Oil and Lubricants (POL). Hence, there is no legally binding obligation between the Municipality and the Supplier as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Section 53.14 and Annex H of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, specifically the inclusion of estimate POL products in the Annual Procurement Plan and execution of contract/agreement between the Municipality and the supplier to warrant any damage/loss.

2. Payments and reimbursements of petroleum fuel, oil and lubricants totaling to P2,619,863.53 were made even without complete documentation and the reasonableness of the fuel consumption could not be ascertained, hence affecting the regularity of the disbursements.

   We recommended the following:

   A. The Management to require the proper accomplishment of Trip Tickets in the prescribed form before approval of the same and issuance of gas slips;

   B. The Municipal Accountant to ensure that payments for FOL are supported with complete documentation; and

   C. The GSO to regularly submit the Monthly Report on Fuel Consumption in the prescribed format.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2024 Annual Audit Report, seven (7) were implemented while one (1) was partially implemented.